
**CONFIRMATION OF COVERAGE BOUND
(BINDER CONFIRMATION)**

Charmaine Dickens
Alliant Insurance Services, Inc. - Chicago
353 N Clark St.
Chicago, IL 60654

Dec 02, 2025

Re: Pine Tower, LLC
Policy #: I23748824 001
Effective: 11/21/2025 to 11/21/2027

Dear Charmaine:

We are pleased to confirm the attached binder for **Property - Builders Risk** being offered with **Illinois Union Insurance Company**. This carrier is **Non-Admitted** in the state of **NE**. Please note that this binder is based on the coverage, terms and conditions as stated in the attached binder, which may be different from those requested in your original submission. As you are the representative of the Insured, it is incumbent upon you to review the terms of this binder carefully with your Insured, and reconcile any differences from the terms requested in the original submission. CRC Insurance Services, LLC disclaims any responsibility for your failure to reconcile with the Insured any differences between the terms bound as per the attached and those terms originally requested. This coverage may not be bound without a fully executed CRC brokerage agreement.

NOTE: If insured is located outside your resident state, you must hold appropriate non-resident license prior to binding.

Mailing Address: 1603 Orrington Ave, Suite 450
Evanston, IL 60201

Physical Address: 1500 Pine St,
Omaha, NE 68108

Coverage as bound per the attached. Premium and Commission are as follows:

Premium:	\$202,581.00
TRIA Premium:	- REJECTED
Broker Fee	\$500.00
Surplus Lines Tax	\$6,092.43
Total:	\$209,173.43

Broker Fees & Policy Fees are Fully Earned at Binding

Commission: 10%

If Non Admitted the following applies:

Nebraska Tax Filings are the responsibility of: () Your Agency (X) CRC

CRC Insurance Services, LLC License #100173606
1 Metroplex Drive, Suite 400, Birmingham, AL 35209

This policy is issued by a nonadmitted insurer, and in the event of the insolvency of such insurer, this policy will not be covered by the Nebraska Property and Liability Insurance Guaranty Association.

Home State: NE

The Home State was determined based on the information provided in your submission and the completed Declaration of Home State form. Please ensure the correct Home State is listed. Incorrect information could result in additional or return taxes, fees, surcharges, penalties, interest, and assessments at a later date, and in addition to what is shown. Additionally, please note that this is the current tax calculation based on the Home State but there could be changes that result in additional or return tax - due at a later date - based on future enactments of surplus lines laws by any of the various states.

Upon requesting quotes and/or placement for the coverage listed herein, the producing retail broker hereby confirms that he/she has performed any and all diligent searches, as may be required by statute, for coverage through licensed carriers or other means of placement, and as necessary maintain proof of declination. Where allowed by governing statutes, "diligent effort" may not require an actual physical search and declination on each risk, but may be based on the retail producing broker's own experience, opinion and overall knowledge of acceptability in the admitted marketplace.

CRC does not issue any certificates of insurance. It is the responsibility of the issuing party Alliant Insurance Services, Inc. - Chicago, to issue COIs according to the insurance policy in reference. CRC does not check or review any COI they receive. All copies of COIs received will be destroyed at time of receipt.

Financing Insurance Premiums

Premium financing budgets insurance payments and improves liquidity for other business objectives: working capital, business growth, building expansion.

If your clients choose to pay their insurance in monthly installments, it's fast and easy with AFCO Premium Finance. AFCO provides premium financing solutions for large, mid-size and small corporate accounts;

Find out how premium financing works and how it can expand your relationship with your clients by e-mailing AFCODirect@afco.com; or **call toll-free 877-317-6437**.

Should you have any questions, please feel free to contact our office.

Sincerely,

Sachin Kapadia
(312) 879-7101
skapadia@crcgroup.com
14712236

CONFIDENTIAL

To: Sachin Kapadia
Company: CRC INSURANCE SERVICES INC

Date Sent: 11/17/2025

Builders Risk Coverage Binder

Policy #: I23748824 001

Named Insured & Mailing Address: Pine Tower, LLC
1603 Orrington Ave, Evanston IL, 60201

Thank you for binding the captioned account. Please read this binder carefully, as the limits, coverage, exclusions, and any other terms and conditions may vary from those you requested in your submission and/or from the expiring policy.

This binder is valid for 30 days from the effective date shown below. Please contact me with any questions that you may have.

When Coverage Begins: 11/21/2025 12:01 A.M. Local Time at the NAMED INSURED's Address

When Coverage Ends: 11/21/2027 12:01 A.M. Local Time at the NAMED INSURED's Address

Term: 730 Days

Company: Illinois Union Insurance Company (NonAdmitted)

Coverage: Builder's Risk

Coverage Form(s): Construction Risk Coverage Form ACE0728 (11/21)

Covered Perils: Direct physical LOSS subject to the terms, conditions and exclusions in the policy forms and as specified below.

Whenever "NCP" is shown below it denotes no coverage has been purchased and no coverage is provided. Whenever "NA" is shown below it denotes "Not Applicable" to that coverage, deductible, Sub-limit of Insurance, or other policy provision.

I. Description, Location and Estimated Completed Value of the INSURED PROJECT at Policy Inception

- A. Estimated construction contract price: \$20,467,492
- B. Value of all property not declared in A. above to be insured by this policy and intended for installation under the construction contract, whether supplied by the INSURED PROJECT owner(s) or other(s): NCP
- C. Estimated Completed Value of the INSURED PROJECT at Policy Inception: \$20,467,492
- D. Value of EXISTING PROPERTY at Policy Inception: \$12,438,354.00
- E. INSURED PROJECT Name: NA
- F. INSURED PROJECT Description / Construction: Non-structural renovation of a 13-story MNC residential tower, 1 building, 63,880sqft. Renovation work includes upgrading kitchens, bathrooms, fixtures, HVAC, and all appliances. Exterior work includes adding a coating to the roof, installing a community garden and outdoor workout center, minimal concrete repair, handrail replacement, and striping of the parking lot. Built in 1970.

G. INSURED PROJECT Site:1500 Pine St., Omaha, NE, 68108

II. Limits of Insurance:

\$38,792,134 (100.0000%) part of \$38,792,134 per OCCURRENCE

The Company will pay no more for direct physical LOSS in any one OCCURRENCE than the above Limit of Insurance. In addition, the Company will not pay for more than its proportionate share (100.0000%) of the following Sub-limits of Insurance and Annual Aggregate Sub-limits of Insurance, which are part of, and not in addition to, the Limit of Insurance above:

Sub-limits of Insurance

A.	Physical LOSS to the INSURED PROJECT	\$20,467,492		
B.	Delay in Opening (per Form Number ACE 0729)	\$5,886,288	Per OCCURRENCE and in the Aggregate	
	Maximum PERIOD OF INDEMNITY:		Loss of RENTAL INCOME 365 Calendar Days Loss of BUSINESS INCOME NCP Calendar Days SOFT COSTS/ADDITIONAL EXPENSES 365 Calendar Days	
	Loss of RENTAL INCOME:	\$3,775,200	Monthly Limit of Indemnity	N/A
	Loss of BUSINESS INCOME:	NCP	Monthly Limit of Indemnity	NCP
	SOFT COSTS / ADDITIONAL EXPENSES:	\$2,111,088	Monthly Limit of Indemnity	N/A
	Interest expense on construction loan(s);	Included	Monthly Limit of Indemnity	N/A
	Advertising and promotional expense;	Included	Monthly Limit of Indemnity	N/A
	Legal and accounting fees;	Included	Monthly Limit of Indemnity	N/A
	Commissions incurred upon the renegotiation of leases;	Included	Monthly Limit of Indemnity	N/A
	Fees for licenses and permits;	Included	Monthly Limit of Indemnity	N/A
	Insurance premiums for Builders Risk, Workers' Compensation and General Liability Insurance;	Included	Monthly Limit of Indemnity	N/A
	Real estate taxes and assessments;	Included	Monthly Limit of Indemnity	N/A
	Project administration expense, excluding Developer fees and project resequencing costs;	Included	Monthly Limit of Indemnity	N/A
C.	EXISTING PROPERTY	\$12,438,354		

D.	Damage to the Owner's EXISTING PROPERTY – Limited	NCP
E.	Property in Transit per Conveyance	\$1,000,000
F.	Temporary Off-site Storage and Off-site Staging Areas, any one location	\$1,000,000
G.	Expediting Expenses and Extra Expenses	20.00% of the insured physical LOSS, or <u>\$250,000</u> ; whichever is less
H.	Debris Removal	25.00% of the insured physical LOSS, or <u>\$1,000,000</u> ; whichever is less
I.	Trees, Shrubs, Plants and Lawns	\$100,000
J.	Protection Service Charges	\$100,000
K.	Fire Protective Equipment Recharge	\$100,000
L.	Valuable Papers and Records	\$100,000
M.	Claim Preparation Expenses	\$100,000
N.	Protection of Insured Property Pre-LOSS	\$50,000
O.	Architects and Engineers Fees	\$100,000
P.	Office and Construction Trailers/Semi-trailers and their Contents	\$25,000
Q.	Ordinance or Law	\$1,000,000
R.	TESTING	NCP
S.	Business Personal Property	\$5,000
T.	Contract Penalty	\$1,000
U.	TOWER CRANE Re-Erection Expense	NCP
V.	NAMED WINDSTORM	\$38,792,134

Annual Aggregate Sub-limits of Insurance

A.	FLOOD	Per OCCURRENCE	\$10,000,000
		Annual Aggregate	\$10,000,000
B.	EARTH MOVEMENT	Per OCCURRENCE	\$10,000,000
		Annual Aggregate	\$10,000,000
C.	Pollution or Contamination Clean-	Per OCCURRENCE	\$25,000

Up

Annual Aggregate \$25,000

D. Limited Coverage For
FUNGUS, Wet Rot, Dry
Rot or Bacteria

Per OCCURRENCE \$25,000

Annual Aggregate \$25,000

III. Escalation Clause

The Sub-limit of Insurance for Physical LOSS to the INSURED PROJECT stated above is considered an estimate. Should any increase in the Estimated Completed Value of the INSURED PROJECT occur, the Sub-limit of Insurance for Physical LOSS to the INSURED PROJECT will automatically increase to reflect the change concurrently, subject to a maximum increase of 0.00% of the original Sub-limit of Insurance stated above. The Per OCCURRENCE Limit of Insurance stated above will increase by the same amount.

This clause does not apply to other Sub-limits of Insurance, including Delay in Opening, if endorsed to this Policy, nor does it apply to the Annual Aggregate Sub-limits of Insurance.

IV. Deductibles

\$25,000

Direct physical LOSS in any one OCCURRENCE except;

- | | | |
|----|--|--------------------|
| A. | LOSS in any one OCCURRENCE caused by or resulting from FLOOD | \$100,000 or NA |
| | Subject to a maximum deductible of: | NA |
| B. | LOSS in any one OCCURRENCE caused by or resulting from EARTH MOVEMENT | \$100,000 or NA |
| | Subject to a maximum deductible of: | NA |
| C. | LOSS in any one OCCURRENCE caused by or resulting from WATER DAMAGE | \$150,000 or 0.00% |
| | Subject to a maximum deductible of: | NA |
| D. | LOSS in any one OCCURRENCE caused by or resulting from NAMED WINDSTORM | \$25,000 or NA |
| | Subject to a maximum deductible of: | NA |
| E. | LOSS in any one OCCURRENCE caused by or resulting from TESTING | NCP or 0.00% |
| F. | LOSS in any one OCCURRENCE caused by or resulting from Wind/Hail | \$100,000 or 2.0% |
| G. | LOSS in any one OCCURRENCE caused by or resulting from Existing Property | \$150,000 or NA |

Where a percentage deductible is shown above, the deductible shall be the greater of the dollar amount shown, or the stated percentage of the total insured values at the INSURED PROJECT site or sites at the time and date of the LOSS, unless a maximum deductible is listed.

Delay in Opening – WAITING PERIOD: 30 Calendar Days, Each DELAY except;

A. Each DELAY Caused by or resulting from FLOOD: 30 Calendar Days

B.	Each DELAY Caused by or resulting from EARTH MOVEMENT	30	Calendar Days
C.	Each DELAY Caused by or resulting from NAMED WINDSTORM	30	Calendar Days
D.	Each DELAY Caused by or resulting from WATER DAMAGE	30	Calendar Days
E.	Each DELAY Caused by or resulting from Wind/Hail	30	Calendar Days

V. Rates and Adjustment

Coverage Type	Rate	Annual Premium	Term Deposit
INSURED PROJECT Physical LOSS	Various Per \$100 <u>Annual</u>	NA	\$202,581 GROUND-UP
Delay in Opening	Various Per \$100 <u>Annual</u>	NA	Included
TESTING (days)	NCP Per \$100 <u>Term</u>	NA	NCP
TESTING (days) Delay in Opening	NCP Per \$100 <u>Term</u>	NA	NCP

Total Deposit Premium: \$202,581

TRIPRA Premium: Rejected

Total Deposit Premium Excluding TRIPRA: \$202,581

Taxes, Surcharges & Fees:

Combined Total Amount Due including Taxes, Surcharges & Fees: \$202,581.00

Florida Legislative Flood Premium Tax Discount (1.75% of Flood Premium, Not included in Total Premium):

Subject to a minimum earned premium of \$50,645

Any applicable taxes, surcharges or fees, etc. are in addition to the above stated premium. The actual taxes, surcharges or fees, etc. will be those in effect on the date coverage is bound. The insured is responsible for paying these taxes, surcharges or fees in addition to the above stated premium.

Please be advised that you are expected to comply with all state law requirements and your office is responsible for making State Surplus Lines Filings and remitting the applicable Surplus Lines taxes.

FOR POLICIES EFFECTIVE JULY 21, 2011 AND SUBSEQUENT, WE REQUIRE THE PRODUCER TO PROVIDE THE "HOME STATE" AS DEFINED IN THE NONADMITTED AND REINSURANCE REFORM ACT (NRR) UPON THE BINDING OF THIS PLACEMENT. PREMIUM ALLOCATION INFORMATION IS REQUIRED AS WELL FOR OUR REPORTING PURPOSES.

Reporting: No

Terms & Conditions:

No work started.

Existing property is ACV.

Site to be fenced, locked, and well lit with guards or cameras - per attached endorsement.

Subjectivities:

Additional Item:

General:

VI. Extension of Term:

This Policy may be extended for a period not to exceed ZERO(0) days from the original expiration date shown above, subject to the same terms and conditions in effect at the time of the extension, and subject to a pro-rata additional premium, exclusive of TESTING.

NOTE: Premium rates applicable to coverage during the period of June 1st through November 30th (NAMED WINDSTORM Season) may differ from rates applicable during the period December 1st through May 31st, and additional premium for extensions will reflect those pricing differences.

The TESTING PERIOD may be extended for a period not to exceed ZERO(0) days from the number of days for TESTING stated above, subject to the same terms and conditions in effect at the time of the extension, and subject to an additional premium based upon the number of days of the extension period.

The NAMED INSURED must request these extensions in writing and receive acceptance from the Company prior to the original expiration date of this Policy. If the NAMED INSURED does not provide the aforementioned written extension request(s), coverage provided hereunder shall terminate on the original expiration date stated in this Policy.

VII. Additional NAMED INSURED Information:

VIII. Mortgage and Loss Payee Information

UMB Bank, National Association as Fiscal Agent (Pine Tower)
R4 Capital Funding LLC and R4 Servicer LLC
155 Federal Street, Suite 1400
Boston, MA 02110

R4 PTNE Acquisition LLC, ISAOA and R4 Capital LLC
155 Federal Street, Suite 1400
Boston, MA 02110

Policy Forms:

Cover Letter

Cover Letter

WSG-084 (05/11)	Surplus Lines Broker Notice
SL-24691 (Ed. 03/08)	Nebraska Surplus Lines Notification
BB-5W58a (09/11)	Common Policy Declarations
CPfs2 (12/10)	Forms Schedule
ACE0727 (11/21)	Construction Risk Declarations
ACE0728 (11/21)	Construction Risk Coverage Form
ACE0210 (01/08)	Nuclear, Biological, Chemical, Radiological Exclusion
ACE0729 (11/21)	Delay In Opening Endorsement
ACE1051 (03/22)	Additional Insured Endorsement
MS364543 (06/24)	Protective Safeguards Endorsement
ACE1029 (06/22)	Windstorm (Including Hail) Per Occurrence Deductible Endorsement
ACE1122 (05/24)	Electronic Data And Electronic Media Exclusion
ALL-10750 (01/15)	Terrorism Exclusion Endorsement
ALL-21101 (11/06)	Trade or Economic Sanctions Endorsement
SL-34255b (04/23)	Service of Suit Endorsement
TRIA24a (08/20)	Policyholder Disclosure Notice of Terrorism Insurance Coverage
ACE0974 (04/20)	Exclusion Of Loss Due To Virus, Bacteria Or Microorganism That Induce Physical Distress, Illness Or Disease
ALL-20887 (10/06)	CHUBB Producer Compensation Practices & Policies
IL P 001 (01/04)	U.S. Treasury Departments' Office of Foreign Assets Control ("OFAC") Advisory Notice to Policyholders
MA-608255p (04/15)	Claims Directory Property and Inland Marine
LD-5S23I (10/24)	Signatures

Valuation:

- A. Property Under Construction – The cost to repair or replace the insured property lost or damaged with material of like kind and quality, less betterment, including contractor's reasonable profit and overhead not exceeding the percentages in the original contract. If the insured property is not repaired or replaced then direct physical LOSS shall be settled on the basis of ACTUAL CASH VALUE.
- B. EXISTING PROPERTY - The Company will pay the least of the following for direct physical LOSS to EXISTING PROPERTY:
 - 1. The ACTUAL CASH VALUE of the EXISTING PROPERTY;
 - 2. The cost of reasonably restoring the EXISTING PROPERTY to its condition immediately prior to the LOSS;
 - 3. The cost of replacing the EXISTING PROPERTY with substantially identical property unless replacement with substantially identical property is impossible or unnecessary. In such case, FUNCTIONAL REPLACEMENT COST would apply.
- C. Property of Others (Including Items Supplied by the Owner) – If Property of Others is new, the cost to repair or replace the insured property lost or damaged with material of like kind and quality, less betterment. If Property of Others is not new then, the Owner's cost or ACTUAL CASH VALUE, whichever is less.

If the Property of Others is not repaired or replaced then direct physical LOSS shall be settled on the basis of ACTUAL CASH VALUE.
- D. TEMPORARY STRUCTURES – The cost to repair or replace the insured property lost or damaged with material of like kind, quality and condition but in the event the insured property is not repaired or replaced recovery will not exceed the ACTUAL CASH VALUE.

- E. Valuable Papers and Records - The cost to reproduce the insured property with other property of like kind and quality including the cost of gathering or assembling information from back up data if replaced, or if not replaced, at the value of blank material.
- F. ELECTRONIC MEDIA or ELECTRONIC DATA - The cost of the blank media, plus the costs of copying or restoring ELECTRONIC DATA from back-up or from originals of a previous generation, not including research and engineering or the costs or expense of recreating, gathering or assembling such ELECTRONIC DATA.

This Policy does not insure any amount pertaining to the value of such ELECTRONIC DATA to the Named Insured or any other party, even if such ELECTRONIC DATA cannot be recreated, gathered or assembled. If not repaired, replaced or restored, ELECTRONIC MEDIA shall be valued at the cost of the blank media.

- G. Trees, Shrubs and Plants - The cost to replace with property of like kind and quality plus the proper proportion of labor expended if such damage occurs after installation.
- H. Office and Construction Trailers/Semi-trailers and their Contents – If not more than 5 years old as of the expiration date of this Policy, based on the manufacturer's model year, and the NAMED INSURED repairs or replaces the insured property, the least of the following shall apply:
 - 1. The cost to replace the lost or damaged insured property, without deduction for depreciation, with new property of comparable quality and utility;
 - 2. The amount the NAMED INSURED actually spends to repair or replace the lost or damaged insured property.

If the insured property is more than 5 years old or the NAMED INSURED does not actually repair or replace the insured property within a reasonable period of time after the date of LOSS, the Company will pay the ACTUAL CASH VALUE

The Company will pay for direct physical LOSS to insured property by determining its REPLACEMENT COST, provided that the NAMED INSURED actually repairs or replaces the lost or damaged insured property, or begins to repair the damaged insured property, within 24 months from the date of direct physical LOSS; otherwise, the Company will pay for direct physical LOSS to insured property by determining its ACTUAL CASH VALUE.

Mandatory Exclusions and Amendments:

All policy form exclusions including but not limited to Contaminants or Pollutants, Asbestos, Electronic Data/Cyber Risk, Fungus, Wet Rot, Dry Rot or Bacteria, and Nuclear, Biological, Chemical, Radiological Exclusions.

Remarks:

The terms, conditions, limits and exclusions of this binder supersede the submitted information and specifications submitted to us for consideration, and all prior binders.

Actual coverage will be determined by and in accordance with the policy as issued by the insurer.

The insurer is not bound by any statements made in the submission purporting to bind the insurer unless such statement is in the actual policy.

This binder has been constructed in reliance on the information and specifications provided in the submission. A material change or misrepresentation of the submission information and specifications may void this binder.

TRIPRA:

ATTACHED PLEASE FIND A DISCLOSURE NOTICE REQUIRED BY THE TERRORISM RISK INSURANCE PROGRAM REAUTHORIZATION ACT ("TRIPRA").

Certificates of Insurance:

Please be advised that we do not review Certificates of Insurance or Evidences of Commercial Property Insurance issued by you, or by any party, relating to this policy of insurance either for content or accuracy. Accordingly, we request that you do not provide copies of certificates or evidences to us for review or for our records. Authority is granted to you for the limited purpose of issuing **unmodified ACORD Certificates (ACORD 25-S for Casualty and ACORD 24 for Property and Inland Marine) and unmodified Evidence of Commercial Property Insurance (ACORD 27 and 28) only**. It is your responsibility to see that any Certificate or Evidence provides an accurate representation of the coverage form and endorsements applicable to this policy at the time the Certificates or Evidences is issued. **Any modification of the approved ACORD forms specifically set forth above, or the issuance of a non-approved Certificates of Insurance ACORD or other is prohibited.** Certificates of Insurance or Evidence of Commercial Property Insurance may only be issued as a matter of information. You have no authority by virtue of a Certificate, Evidence, or otherwise, to amend, extend or otherwise alter coverage afforded under this policy. Certificates of Insurance or Evidences of Commercial Property Insurance are never recognized as endorsements or policy change requests. You must submit a separate written request if an endorsement or policy change (including but not limited to adding additional insureds, loss payees and mortgagees and/or alteration of notice requirements for cancellation) is requested. In the event a policy change is requested, the underwriter will advise if the request is acceptable to the Company.

Thank you for the opportunity to work on this risk.

Regards,



Westchester's Claims Service proves exceptional. Advisen Industry Claims Satisfaction Survey ranks Chubb as most preferred insurer for Property, Management, and Professional Liability Claims Handling.

Only carrier to be ranked number one in more than one category.

CLICK HERE

TERRORISM EXCLUSION ENDORSEMENT

Named Insured Pine Tower, LLC			Endorsement Number
Policy Symbol BR	Policy Number I23748824 001	Policy Period 11/21/2025 to 11/21/2027	Effective Date of Endorsement
Issued By (Name of Insurance Company) Illinois Union Insurance Company			

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

THIS ENDORSEMENT MODIFIES INSURANCE PROVIDED UNDER THE FOLLOWING:

**BOILER AND MACHINERY COVERAGE PART
BUSINESS AUTO COVERAGE FORM
GARAGE COVERAGE FORM
MOTOR CARRIER COVERAGE FORM
TRUCKERS COVERAGE FORM
BUSINESS AUTO PHYSICAL DAMAGE COVERAGE FORM
COMMERCIAL INLAND MARINE COVERAGE PART
COMMERCIAL PROPERTY COVERAGE FORM
COMMERCIAL PROPERTY COVERAGE PART
STANDARD PROPERTY POLICY**

The following exclusion is added to this policy and applies to all coverages, additional coverages, and coverage extensions, notwithstanding any provision to the contrary in this policy or any other endorsement hereto:

- A. This insurance does not cover loss, damage, injury, expense, cost, or legal obligation directly or indirectly caused by or resulting from any of the following, regardless of any other cause or event, whether or not insured under this policy, contributing concurrently or in any other sequence thereto:
1. "Act of Terrorism"; or
 2. Actions taken by or on behalf of any government or any branch or division thereof (including, without limitation, the uniformed armed forces, militia, police, state security, and anti-terrorism agencies) in responding to, preventing, combating, defending or retaliating against any "Act of Terrorism"; or
 3. dispersal, application, or release of any actual or alleged pathogen, poison, biologic or chemical product, material, waste or substance as a result of an Act of Terrorism, and it reasonably appears that one purpose of the Act of Terrorism was to release such product, material, waste or substance.

This exclusion applies whether or not the "Act of Terrorism" was committed in concert with or on behalf of any organization or government.

The terms and limitations of this exclusion do not serve to create coverage for any loss which would otherwise be excluded under this Policy, such as, but not limited to, losses excluded by the "Nuclear Exclusion" or the "War Exclusion" or similar provision.

B. As used in this endorsement:

1. "Act of Terrorism" means any act against persons, organizations or property of any nature that involves the following or preparation for the following:
 - a. Use or threat of force or violence; or
 - b. Commission or threat of a dangerous act; or

- c. Commission or threat of an act that interferes with or disrupts an electronic, communication, information, or mechanical system; and
- 2. Appears to be intended, in whole or in part, to:
 - a. Intimidate or coerce a government or the civilian population; or
 - b. Disrupt any segment of a nation's economy; or
 - c. Influence the policy of a government by intimidation or coercion; or
 - d. Affect the conduct of a government by mass destruction, assassination, kidnapping or hostage-taking; or
 - e. Further political, ideological, religious, social or economic objectives or to express (or express opposition to) a philosophy or ideology; or
 - f. Respond to governmental action or policy.

"Act of Terrorism" shall also include any incident determined to be such by an official, department or agency that has been specifically authorized by federal statute to make such a determination.

C. Exception Covering Certain Fire Losses

If an Act of Terrorism results in a fire and the direct physical loss or damage to property insured hereunder located in any State of the United States, the District of Columbia, the Commonwealth of Puerto Rico, the Commonwealth of the Northern Mariana Islands, American Samoa, Guam, each of the United States Virgin Islands and any territory or possession of the United States, that, either pursuant to the Standard Fire Policy or otherwise, prohibits exclusions for acts of terrorism that result in fire, this Company will pay for the loss or damage caused by that fire. Such coverage for fire applies only to direct loss or damage to property insured hereunder and may be limited, in accordance with the Standard Fire Policy, to the lesser of the actual cash value of the property at the time of the loss or the amount which it would cost to repair or replace the property, without allowance for any increased cost of repair or replacement by reason of any ordinance or law, and without any compensation for business interruption, extra expense to continue business activities, or any other coverage for loss or damage other than direct physical loss or damage to the property insured hereunder.

All other terms and conditions remain unchanged.

Illinois Union Insurance Company

Insurance Company

Pine Tower, LLC

Policyholder

I23748824 001

Policy Number

CRC INSURANCE SERVICES INC

Broker/Producer

POLICYHOLDER DISCLOSURE NOTICE OF TERRORISM INSURANCE COVERAGE

You were notified that under the Terrorism Risk Insurance Act, as amended, you have a right to purchase insurance coverage for losses resulting from acts of terrorism. *As defined in Section 102(1) of the Act:* The term "act of terrorism" means any act or acts that are certified by the Secretary of the Treasury---in consultation with the Secretary of Homeland Security, and the Attorney General of the United States---to be an act of terrorism; to be a violent act or an act that is dangerous to human life, property, or infrastructure; to have resulted in damage within the United States, or outside the United States in the case of certain air carriers or vessels or the premises of a United States mission; and to have been committed by an individual or individuals as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion.

YOU SHOULD KNOW THAT WHERE COVERAGE IS PROVIDED BY YOUR POLICY FOR LOSSES RESULTING FROM CERTIFIED ACTS OF TERRORISM, SUCH LOSSES MAY BE PARTIALLY REIMBURSED BY THE UNITED STATES GOVERNMENT UNDER A FORMULA ESTABLISHED BY FEDERAL LAW. HOWEVER, YOUR POLICY MAY CONTAIN OTHER EXCLUSIONS WHICH MIGHT AFFECT YOUR COVERAGE, SUCH AS AN EXCLUSION FOR NUCLEAR EVENTS. UNDER THE FORMULA, THE UNITED STATES GOVERNMENT GENERALLY REIMBURSES 80% OF COVERED TERRORISM LOSSES EXCEEDING THE STATUTORILY ESTABLISHED DEDUCTIBLE PAID BY THE INSURANCE COMPANY PROVIDING THE COVERAGE. THE PREMIUM THAT WOULD BE CHARGED FOR THIS COVERAGE IS PROVIDED BELOW AND DOES NOT INCLUDE ANY CHARGES FOR THE PORTION OF LOSS THAT MAY BE COVERED BY THE FEDERAL GOVERNMENT UNDER THE ACT.

YOU SHOULD ALSO KNOW THAT THE TERRORISM RISK INSURANCE ACT, AS AMENDED, CONTAINS A \$100 BILLION CAP THAT LIMITS U.S. GOVERNMENT REIMBURSEMENT AS WELL AS INSURERS' LIABILITY FOR LOSSES RESULTING FROM CERTIFIED ACTS OF TERRORISM WHEN THE AMOUNT OF SUCH LOSSES IN ANY ONE CALENDAR YEAR EXCEEDS \$100 BILLION. IF THE AGGREGATE INSURED LOSSES FOR ALL INSURERS EXCEED \$100 BILLION, YOUR COVERAGE MAY BE REDUCED.

You elected **NOT** to purchase terrorism coverage under the Act at the price indicated. ACCORDINGLY, WE WILL **NOT** PROVIDE THIS COVERAGE AND YOU DO NOT OWE THE ADDITIONAL PREMIUM FOR THAT COVERAGE INDICATED BELOW.

Terrorism coverage described by the Act under your policy was made available to you for additional premium in the amount of \$10,129, however you elected to decline such coverage.